future use.

In the past 200 years, governments have tended to enlarge the scope of this fundamental construct beyond common goods. In welfare states, governments have chosen to redistribute incomes and wealth, taking from the rich and better-off and giving to the poor and worse-off in various forms, from cash handouts to delivering food and specific goods and services like education, health, etc. In socialist states, governments have taken over private property and private businesses to run and manage themselves or through the instrumentalities they control. This has expanded the scope of public finances to take on many other kinds of expenditure, which could be primarily classified in three additional broad categories:

First, redistribution. governments may provide food, water, health, education and other services considered minimally necessary for the well-being of citizens. This redistribution may be carried out by handing out cash support or providing goods and services in kind.

Second, business investments. Governments may set up different businesses: steel plants, cement factories, telecommunication services, banks or other real sector or financial businesses. To set these up, the government invests in the capital of the enterprises. These enterprises may turn in profits, which may be channelled to the government as dividends; if they turn in losses, the government may even have to provide support from public finances to cover these losses.

Third, governments may choose individuals and businesses to provide capital support or subsidize the prices of their inputs or outputs. Farmers, labour and small businesses are among those selected to provide this kind of business support.

The Centre and states of India have taken upon themselves the responsibility for the basic function of the state as sovereigns to provide public goods and services as well as redistribution and business support to select sections of people. They have also adopted elements of the socialist